

Toyota's joint venture in India, Toyota Kirloskar Motor, is already selling Maruti's Baleno as the cross-badged Glanza premium hatchback. Toyota's Urban Cruiser is also based on Maruti's Vitara Brezza. After the failures of models like Etios, Liva and Yaris in India, experts say this is a great opportunity for Toyota to expand its portfolio into lower price bands, which is Maruti's strong point. "Through our new agreement, we look forward to the wider use of hybrid technologies, not only in India and Europe, but also around the world. At the same time, we believe that expansion of our business partnership with Suzuki—from the mutual supply of vehicles and powertrains to the domains of development and production—will help give us the competitive edge we need to survive this once-in-a-century period of profound transformation. We intend to strengthen the competitiveness of both our companies by applying our strong points and learning from each other," Toyota President Akio Toyoda had said at the start of the partnership.

"For hybrids, different OEMs have been taking different strategies," says Rohan Kanwar Gupta, Vice President and sector head at ICRA. "The Japanese companies are saying that hybrid is the way forward in the medium term. We'll see various powertrains co-existing. Ultimately, we have to graduate towards electric, [but] for five to six years, ICE will rule the roost."

Suzuki's hybrid vehicles for India will be made using engines and batteries locally produced by Toyota. "Hybrid technology will become available to us through Toyota and Suzuki. If hybrid leads to 30 per cent less fuel consumption, then surely it is deserving of some incentive rather than be treated [as if it's] as polluting as petrol or diesel, because EVs will not do the job in the next 10-15 years," says Bhargava.



"BUSINESS CHALLENGES WILL CONTINUE TO EVOLVE. HOWEVER, I AM CONFIDENT THAT MARUTI SUZUKI WILL OVERCOME THESE AND EMERGE SUCCESSFUL"

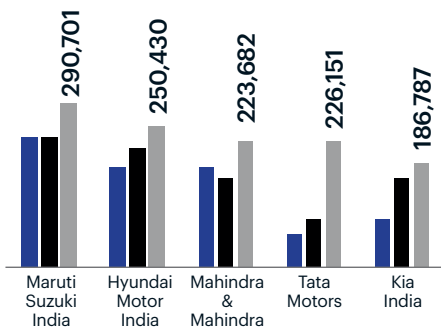
KENICHI AYUKAWA

EXECUTIVE VICE CHAIRMAN, MARUTI SUZUKI INDIA

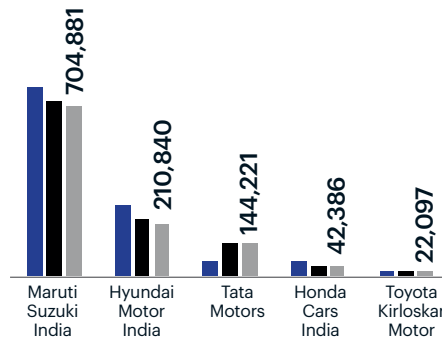
Suzuki, which is betting big on a recovery in India to achieve its record sales target of 4.8 trillion yen by March 2026, has a global strategy that is aligned with its India EV and hybrid plans. "There are even some automakers around the world that are setting the ambitious goal of converting all models to electric vehicles (EVs) by 2030. However, most of Suzuki's customers are ordinary consumers and the existence of our business necessitates us to stay closely attuned to their needs. For precisely this

| 37

UTILITY VEHICLES



COMPACT SEGMENT



MINI SEGMENT

